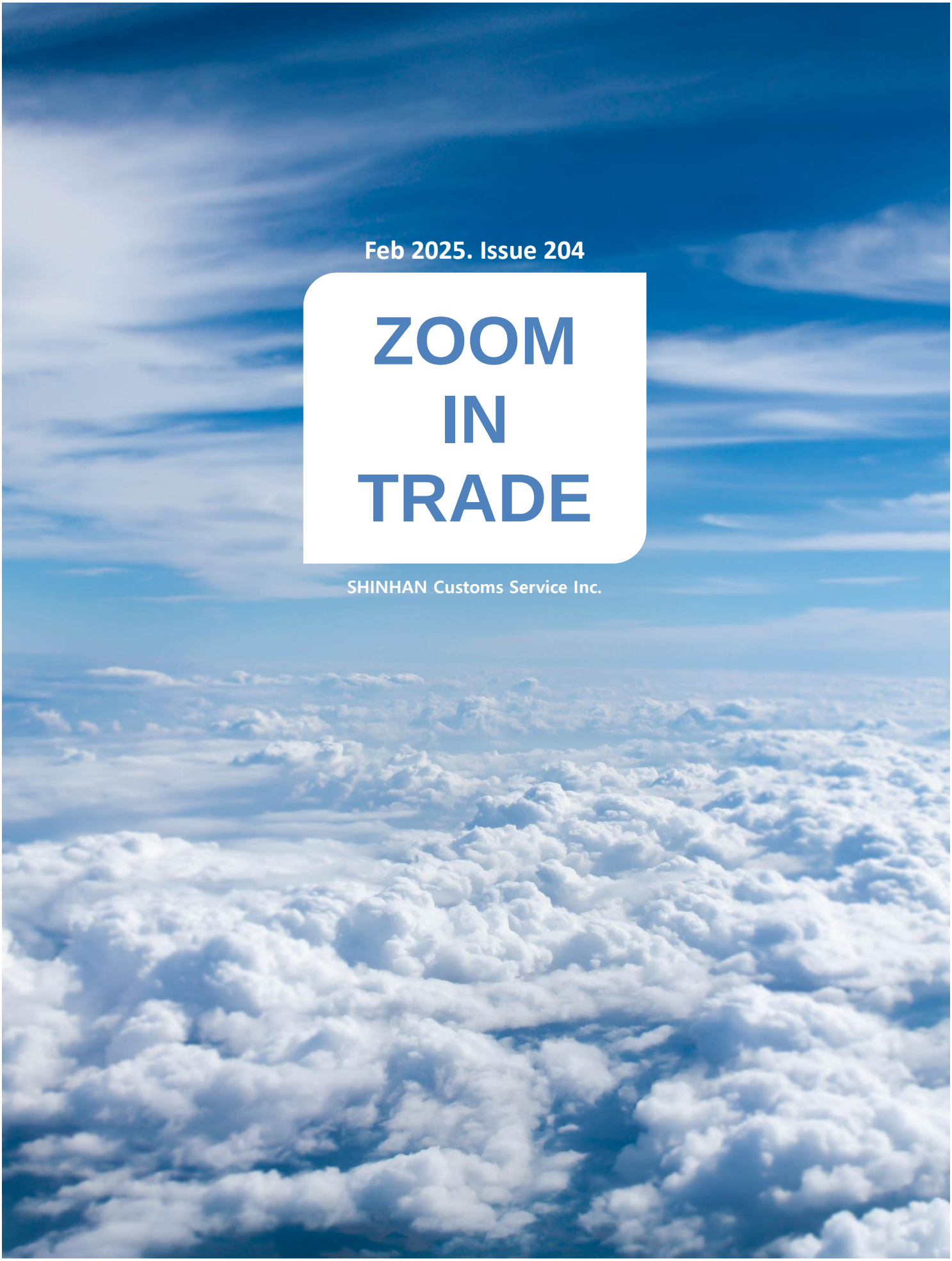

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Warp and Weft

Grace Chang
CEO/Customs consultant

“

May we all continue to move forward
— each in our own place—
one step at a time, with purpose
and care.

”

It feels as though we have only just begun saying the number *2026*, and yet a month has already passed. While time flows steadily on, we mark it with calendars and new beginnings. Even knowing these divisions are artificial, the start of a new year invites reflection. I hope the past month has been a meaningful one for you.

Ideal and Reality for this month is ***‘In 2026, in an Era of New Technologies and Rapid Investment, Tariffs Should Also Be Reviewed’****, Analysis on Recent Customs Judicial Precedent covers* ***‘Whether it was lawful to deny the declared price of imported agricultural goods on the basis of a significant deviation from the prices of similar goods’****, and HS case solved by logic reports ‘****「Classification of HS Code for Semiconductor Assembly Machinery (HS 8486.40 vs. 8479.89)」’****, Global Customs Insight is* ***‘Announcement of the Amendment to the Circular on Customs Procedures for Import and Export in Vietnam’*** *and FTA and import/export practical business guide is* ***‘Practical Matters Regarding the Removal Period for Imported Cargo’****, Contents and Opinion of Customs Trade amendment Covers* ***‘Amendment to the Customs Act’.***

Life is often compared to a blank page, but it is closer to a woven fabric. The warp threads give us direction and values, while the weft—our daily choices and efforts—moves steadily through them. Without direction, effort scatters; without effort, nothing is completed. A life is shaped where the two meet.

We are not born as blank pages. From the beginning, we carry possibilities within us. As we grow, values such as trust, honesty, fairness, and kindness become the warp that holds our lives together, while ordinary, repeated days quietly form the pattern.

In a world driven by speed and visibility, lasting value is built through consistency. Trust is not declared—it is earned through actions repeated over time. What strengthens a life, and an organization, is not dramatic change, but steady commitment.

There are moments of doubt, and times when we wish to pause. Yet if the weft stops, the fabric remains unfinished. Day by day, those ordinary efforts accumulate, becoming something solid and enduring.

As days become months and months become years, they form a lifetime.

In February 2026, may we all continue to move forward—each in our own place—one step at a time, with purpose and care.

Thank you.

Ideal and Reality

In 2026, in an Era of New Technologies and Rapid Investment, Tariffs Should Also Be Reviewed

1. The global industrial environment entering 2026 is clearly different from the past

The global industrial environment entering 2026 is clearly different from the past.

Technology is evolving more rapidly, investment decisions require resolution within much shorter timeframes, and national boundaries are once again becoming thicker. Core industries such as artificial intelligence (AI), semiconductors, chemicals, automobiles, shipbuilding, defense, and secondary batteries are moving forward with global markets in mind from the initial stages of investment. Technological development is immediately connected to international supply chains, and investment decisions cross borders from the outset.

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At the center of this change, Korean companies are seeing a clear direction.

They are heading toward the United States. From the construction of chemical plants, investments in semiconductor manufacturing lines, relocation of auto parts factories, to the expansion of shipbuilding and offshore plant facilities, the United States is no longer merely an export market, but has become a core business space where direct production and fixed asset investments take place.

2. Is the review of tariffs sufficient?

However, amid all of these strategic discussions, the level of tariff review conducted by companies is still not sufficient. In many cases, companies do not receive adequate tariff advisory services at the business review stage, and at the same time, companies themselves appear to believe that "there are not many customs experts who can prepare in advance."

The development of technology increasingly requires a higher level of professional knowledge in tariff review as well. Products being created in the world today are composed of new components, raw materials, and products driven by new technologies far beyond what we imagine, and accordingly, tariff reviews must be conducted in a more in-depth manner.

In addition, when inquiries are made directly to the United States, responses are given from an American perspective, which in many cases works against corporate decision-making. Therefore, it is necessary to first consult Korean customs experts and then obtain additional opinions from U.S. customs experts in order to raise the level of decision-making.

3. As technology and industry develop, investment must consider supplier growth as well as market growth

When assessing how significantly technology and industry are changing, management must always engage in second-order thinking. Not only the size of the market, but also the growth speed of suppliers must be considered together in order to reduce errors in investment decisions.

Amid expectations that secondary batteries would be used in all automobiles, numerous companies and capital rushed into the secondary battery industry, but many companies are now struggling due to China's low-priced oversupply of secondary batteries. Even

Korean companies producing high-quality secondary batteries are now changing their factory lines to lower-priced ESS systems. This once again demonstrates that in issues involving large-scale investment, it is necessary to closely examine not only whether the market is growing, but also how much supply will increase.

Small, high-capacity secondary batteries with guaranteed stability are expected to be used in humanoid robots, and amid such expectations, optimism toward Korea's secondary battery industry is emerging. However, considering that the expansion of the humanoid robot market is not rapid, it is difficult to conclude that this will directly lead to increased corporate profits.

Although this is now in the past, during the COVID period when masks and diagnostic kits were in short supply, many companies rushed to introduce mask and diagnostic kit production facilities, and as COVID came to an end, a large number of companies suffered enormous losses. Often, money is earned temporarily when luck aligns with one's existing business, but problems arise when too many companies enter production simply because it appears profitable. LEDs, secondary batteries, steel, and chemical industries are already facing temporary limit situations due to China's low-priced oversupply, and although semiconductors and power facilities are receiving high expectations riding the AI wave, there is always a need for caution, as it is unclear when oversupply may emerge in the market.

4. As technology becomes more advanced and more generalized, tariff risk increases

In particular, as technology becomes more advanced and more generalized, tariff risk actually increases. Even for the same equipment, whether it is classified as semiconductor-specific equipment or as general industrial machinery results in different HS codes, and consequently leads to entirely different outcomes in terms of tariff rates, application of free trade agreements (FTAs), and import regulations.

U.S. tariff policy is also exerting pressure by threatening to impose high tariffs on industries that generate profits in exporting countries unless production facilities are relocated. The strong interest shown by the United States in Korea's core industries such as semiconductors, pharmaceuticals, and biotechnology reflects this trend.

5. The most frequently asked questions in tariff practice are almost without exception related to U.S. tariffs

In tariff practice, the most frequently asked questions these days are almost without exception related to U.S. tariffs. Key questions include which HS code applies, what the tariff rate is, and how the declared value should be set. This demonstrates that companies have already begun to recognize tariffs not merely as an administrative issue, but as a management variable directly linked to profitability.

As the United States' high tariff policies on steel, aluminum, and copper, as well as high tariffs against China, become structurally entrenched, companies' concerns about diversifying supply chains to reduce tariff burdens are deepening. In fact, one company with production bases in more than 30 countries worldwide is flexibly operating its supply chain

by upgrading its tariff rate systems for importing and exporting countries in order to reduce tariffs. Of course, this is only possible because the industry allows production facilities to be utilized flexibly.

Calculations regarding whether it is more advantageous to produce in China, Korea, or a third country have become extremely complex, and many companies are redesigning their supply chains (SCM) based on tariffs. However, because tariff policies continue to change, risks remain regardless of which option is chosen.

6. The questions are no longer simple; advisory services are required

The questions companies must now ask are no longer simple.

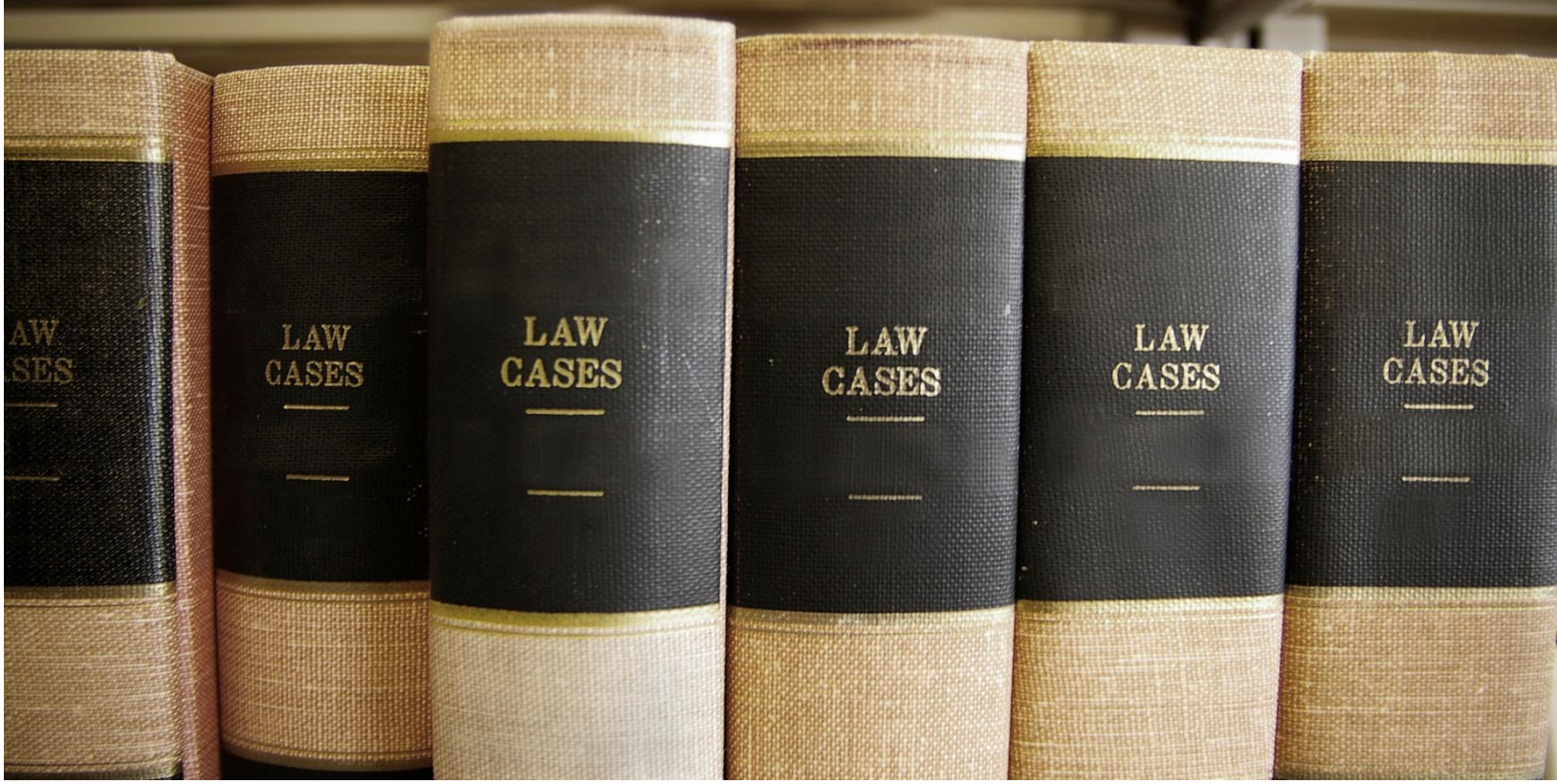
Which country should be selected for production due to relatively low tariff rates? Which country should be used for assembly? Where should processes be located in order to satisfy rules of origin? Which free trade agreements (FTAs) can be utilized? These choices are closely interconnected.

Producing in one country may reduce tariffs but fail to satisfy rules of origin, while changing the assembly country may allow FTA application but increase logistics costs and lead times. In other words, tariff strategy has become an issue of designing business structures rather than "finding answers through searches."

These issues must be discussed together with advisory customs brokers.

HS classification, tariff rates, and pricing issues cannot be resolved with free information. Surface-level information can be obtained through ChatGPT or the internet. However, the areas that actually cause problems—HS classifications subject to multiple interpretations, the appropriateness of process segmentation, satisfaction of rules of origin, and the rationality of pricing structures—cannot be resolved with free information.

Throughout 2025, customs brokers and customs experts at customs firms and law firms experienced an unusually busy year. Corporate inquiries surged due to U.S. Trump tariff issues, but ironically, there were not many cases in which companies actually paid for tariff advisory services. Experts searched for data together with clients, considered structures, and proposed alternatives, but in many cases, these efforts were consumed by requests such as "just take a look once." There was a clear gap between the greeting that "customs brokers' revenue must have increased significantly due to Trump tariffs" and reality. Because many companies do not have advisory budgets secured in advance and require significant time to decide on advisory fees, it may be worth considering entering into annual retainer agreements for approximately three years during the period in which the Trump administration exists.



Analysis on Recent Customs Judicial Precedent

Whether it was lawful to deny the declared price of imported agricultural goods on the basis of a significant deviation from the prices of similar goods

1. Background

Between April and August 2024, the claimant imported fresh ginger (small ginger and large ginger) from a Chinese exporter and declared an import price of USD OO per ton. However, the tax authority determined that the declared price was significantly lower than the transaction value of similar goods that had been accepted as customs value.

The authority requested the claimant to submit supporting explanations, but found the submitted materials insufficient. Accordingly, the authority rejected the declared price and reassessed and notified customs duties by applying Article 32 of the Customs Act (Determination of Customs Value Based on the Transaction Value of Similar Goods). The claimant subsequently filed an appeal with the Tax Tribunal.

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2. Issues in Dispute

- Whether there existed reasonable grounds to reject the declared import price of the goods at issue
- Whether the administrative disposition determining the customs value under Method 3 (transaction value of similar goods), after excluding Method 1 (transaction value), was lawful

3. Arguments of the Claimant

(1) Recognition of the Price Actually Paid

As payment was actually made in accordance with the contract executed with the exporter, the actual transaction price should be recognized as the customs value pursuant to Article 30 of the Customs Act.

(2) Faithful Submission of Supporting Materials

The claimant duly submitted materials demonstrating the price formation process, including contract farming agreements, on-site harvesting photographs, and explanatory statements on price determination.

(3) Failure to Meet the Requirements for Similar Goods

It is unclear whether the similar goods used as comparables by the tax authority satisfied the same conditions as the goods at issue in terms of production area, stage of transaction, quantity, and other relevant factors.

4. Arguments of the Tax Authority

(1) Significant Price Discrepancy

The declared price of the goods at issue amounted to only approximately 87–88% of the weighted average price of similar goods, and was also significantly lower than the origin survey prices published by the Korea Agro-Fisheries & Food Trade Corporation (aT).

(2) Lack of Reliability of Submitted Materials

The reasons for unit price changes stated in the submitted contracts (e.g., increased labor costs) were inconsistent with the cost analysis tables. In addition, loss and shrinkage costs were recorded identically regardless of storage periods, undermining credibility.

(3) Opaque Accounting Practices

The submitted accounting records consisted merely of handwritten, itemized listings, which were Inadequate to objectively verify the actual purchase costs.

5. Review and Decision

The Tax Tribunal dismissed the appeal for the following reasons:

The declared price was significantly lower than both the prices of similar goods and the aT origin survey prices, providing reasonable grounds to doubt the authenticity of the declared price.

The contract farming documents lacked the exporter's seal, and inconsistencies existed between the dates and unit prices stated in the final contract and the detailed contracts, indicating a lack of consistency in the submitted materials.

Considering that the claimant had reported prices consistently lower than those of similar goods for over ten years, it was difficult to recognize the legitimacy of price fluctuations allegedly attributable to contract farming arrangements.

Accordingly, the Tribunal held that the disposition determining the customs value based on the lowest transaction price of similar goods under Method 3 was lawful.

6. Relevant Regulations

(1) Principle of Customs Value Determination

(Article 30(1) of the Customs Act)

The customs value of imported goods shall be the transaction value, adjusted by adding statutory additions, which is the price actually paid or payable by the buyer for the goods sold for export to Korea.

(2) Request for Submission of Supporting Materials

(Article 30(4) of the Customs Act)

Where a taxpayer declares a price based on the transaction value, and such declared price differs

significantly from the transaction value of identical, similar, or like goods, making it difficult to recognize the declared price as the customs value, the head of a customs office may request the taxpayer to submit materials proving that the declared price is factual.

(3) Rejection of the Transaction Value

(Article 30(5) of the Customs Act)

Where the taxpayer fails to submit the requested materials, or where the declared price differs significantly from the prices of identical, similar, or like goods, the head of a customs office shall not determine the customs value based on the transaction value, but shall instead apply the methods prescribed in Articles 31 through 35 of the Customs Act (Methods 2 through 6).

In summary, while the transaction value between the parties is the primary basis for determining the customs value of imported goods, where such price is found to be inappropriate, the transaction value may be rejected and the customs value determined using alternative methods.

7. Practical Implications and Strategies

(1) Ensuring Completeness of Supporting Documentation

When asserting special transaction structures such as contract farming, it is essential to ensure that contracts bear the seals of both parties and that objective and concrete evidence supporting price fluctuations (e.g., official origin price data from public institutions) is secured.

(2) Modernization of Accounting Records

Compared to handwritten ledgers, accounting records maintained through standardized accounting software are more effective in enhancing credibility during the substantiation process.

(3) Monitoring of Origin Market Prices

For agricultural products with high price volatility, importers should continuously monitor authoritative market prices, such as those published by aT (Korea Agro-Fisheries & Food Trade Corporation), at the time of import to ensure that declared prices do not deviate excessively from prevailing market prices.

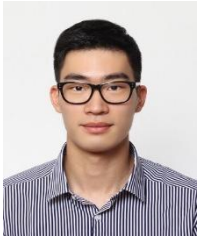
HS case solved by logic

「Classification of HS Code for Semiconductor Assembly Machinery (HS 8486.40 vs. 8479.89)」

1. Overview

Product classification refers to the process of determining which tariff heading (HS Code) an imported or exported good falls under. Since the applicable customs duty rate varies depending on the classification, product classification plays a critical role in the customs clearance process. As a result, disputes over product classification frequently arise between importers/exporters and customs authorities.

In this case, although the goods in question appear, in form, to be semiconductor assembly machinery, they in fact perform the function of depositing an electromagnetic shielding layer onto the surface of semiconductor devices after the packaging process in the semiconductor manufacturing stage has been completed. The key issue in this classification review is whether the goods should be regarded as machinery used solely or principally for the assembly of semiconductor devices or electronic integrated circuits, or as independent machinery having an individual function



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2. Case study

(1) HS CODE at issue

HS CODE	8486.40-2099	8479.89-9050
Applicable Tariff Rate	**0% (Basic Duty Rate)**	8% (**Basic Duty Rate**)
Terms of the Heading	**Machinery and apparatus for the manufacture of semiconductor boules or wafers, semiconductor devices, electronic integrated circuits, or flat panel displays, used solely or principally therefor**	**Coating Machine**)
Requirement for Customs Confirmation	None	Electrical Appliances and Consumer Products Safety Control Act, Radio Waves Act

(2) Korea Customs Service – Review – 2025-3 (Decision Date: September 9, 2025)

1) Claimant's Argument

The goods at issue are equipment used exclusively for semiconductor manufacturing and should therefore be classified under HSK 8486.40-2099. Heading 8486 covers machinery and apparatus used solely or principally for the manufacture or assembly of semiconductor boules, wafers, semiconductor devices, electronic integrated circuits, or flat panel displays. In addition, Chapter 84 Note 11 (d) and (f) provides that machinery meeting these criteria shall be classified under heading 8486 and not elsewhere.

Electromagnetic interference generated by semiconductors may cause malfunctions, making shielding processes essential. The goods in question are used to form an EMI shielding layer on the surface of semiconductor devices, after which the products undergo electrical testing and visual inspection before being sold as finished goods.

According to the manufacturer's website, the relevant model is categorized under "Semiconductor" equipment and is described as being used across various semiconductor processes, including EMI shielding, back-end metallization, MEMS, TSV, UBM, and RDL.

Furthermore, a prior classification ruling was requested on October 15, 2024, and a reply classifying the goods under HSK 8486.40-2099 was issued on April 14,

2025. Accordingly, the goods should be classified under HSK 8486.40-2099 as machinery used exclusively for semiconductor manufacturing.

2) Position of the Disposing Authority

The disposing authority argues that the goods at issue are not machinery used solely or principally for semiconductor manufacturing and should therefore be classified under HSK 8479.89-9050. Heading 8479 covers machines having individual functions not specified or included elsewhere, and subheading 8479.89-9050 includes coating machines (applicators).

According to the HS Explanatory Notes to heading 8479, this heading applies only where machinery cannot be classified under another heading based on its function or use. When examining the applicability of heading 8486 pursuant to Note 11 to Chapter 84, Note 11(d)(2) provides that machinery used solely or principally for the assembly of semiconductor devices or electronic integrated circuits falls under heading 8486, and the Explanatory Notes list examples such as wire bonders, encapsulation equipment, laser marking machines, and wafer bumping machines.

However, the goods at issue are machines that deposit an additional metal layer for electromagnetic shielding on the surface of individual chips after the semiconductor packaging process has been completed. They are not directly used in the semiconductor assembly process, nor is the relevant process considered essential to the basic operation or functionality of the semiconductor.

Furthermore, the Customs Valuation and Classification Institute has previously classified similar goods as coating machines under HSK 8479.89-9050. Accordingly, pursuant to General Rules for the Interpretation of the Harmonized System 1 and 6, the goods should be classified under HSK 8479.89-9050.

(3) Review and Determination

Although the disposing authority claimed that the goods should be classified as coating machines under HSK 8479.89-9050, Notes 11(d) and 11(e) to Chapter 84 require machinery used solely or principally for the assembly of semiconductor devices or integrated circuits to be classified under heading 8486. The Explanatory Notes to heading 8486 include sputtering equipment, and the goods at issue form a metal layer for electromagnetic shielding prior to package cutting, constituting part of the assembly process. Accordingly, the goods are properly classified under HSK 8486.40-2099

(4) Determination of HS CODE: HSK 8486.40-2099

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3. Opinion on Decision

In the classification of machinery, goods are often classified under heading 8479 merely because they do not clearly fall under a specific heading. This is because the HS does not enumerate all goods in detail, and heading 8479 functions as a residual provision for machinery having individual functions.

However, heading 8479 is a supplementary heading that should be applied only where classification under any other heading is not possible, and therefore requires careful consideration. As demonstrated in this case, a close examination of the goods' function, purpose, operating principle, and actual use may support classification under a heading specific to a particular industrial process rather than heading 8479.

Accordingly, the classification of machinery should be based on a comprehensive assessment of the relevant tariff provisions, Explanatory Notes, and prior classification decisions, rather than on a purely formal characterization as machinery having an individual function.

Global Customs Insight

Announcement of the Amendment to the Circular on Customs Procedures for Import and Export in Vietnam

On December 18, 2025, the Ministry of Finance of Vietnam promulgated "Circular No. 121/2025/TT-BTC (Circular 121)," which amends and supplements Circular No. 39/2018/TT-BTC and Circular No. 38/2015/TT-BTC regarding customs procedures, customs inspection and supervision, import-export duties, and tax administration for imported and exported goods.

This Circular comprises significant changes to key provisions and updates to forms, such as the Customs Settlement Report (Settlement Report), which is expected to bring substantial changes to import and export customs clearance operations following its enforcement. Circular 121 will officially take effect on February 1, 2026, and its key highlights are as follows:

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1. Revision of Customs Settlement Report (Settlement Report) Forms

The forms included in Appendix I of the Circular—Form 15/BCQT-NVL/GSQL (Inventory Report for Raw Materials), Form 15a/BCQTSP-GSQL (Inventory Report for Finished Goods), and Form 16/ĐMTT-GSQL (Actual BOM)—have been newly revised, and regulations regarding the preparation of the Settlement Report have been included. According to the amended regulations, more detailed reporting is required for specific items in the Settlement Report.

Specifically, the "Quantity of re-imported finished goods after export" occurring during the reporting period (fiscal year) must be reported separately from the quantity of goods normally manufactured and stocked during the same period. Regarding the Actual BOM, for products manufactured using raw materials recovered and reused from re-imported goods after export, such recovered or recycled raw materials must be categorized separately, and specific phrases must be indicated in the remarks column.

As a product produced, exported in the past, un-used and re-imported, and for

- it will be used as raw material for new products through decomposition, etc. : "TH"
- some materials or components will be replaced into this product and re-exported : "SPTN"

2. Narrowing the Scope of Transactions Eligible for Optional Customs Procedures for Export Processing Enterprises (EPEs)

Under previous circulars, EPEs were granted broad discretion to choose whether or not to perform import-export declaration procedures for "transactions between EPEs" (allowing for a process of recording and maintaining entry and exit logs in lieu of formal customs declarations).

However, under the current circular, the option to forgo formal import-export procedures is now restricted solely to "construction materials, stationery, food, foodstuffs, and consumer goods produced from the Vietnamese domestic market," provided they align with their intended purpose of use.

In summary, the scope of transactions for which EPEs may exercise an option regarding customs declarations has been significantly reduced. Consequently,

transactions such as "sales or leases between EPEs" must now undergo official import-export customs clearance procedures in accordance with the regulations.

3. Strengthening of Regulations Regarding the Leasing of External Warehouses by EPEs

Previously, regulations concerning the leasing of external warehouses by EPEs were relatively brief, covering facility requirements, the submission of written applications for customs approval, and the authority of the competent customs office to grant permission.

However, this Circular specifies the application conditions; EPEs may only apply for external warehouse leases if they have a recent record of legal compliance and a practical necessity, such as cases where the estimated production volume exceeds the enterprise's storage capacity.

Furthermore, if a lease is approved, the duration is set not to exceed two years, and new conditions regarding the timing and procedures for requesting an extension have been established. Additionally, various detailed procedures and obligations for the parties involved have been newly introduced.

4. Amendment of Regulations on Notification and Inspection of Export/Processing Capacity and Manufacturing Facilities ("Factory Inspection")

Under the previous Circular, regulations stated that inspections of processing and manufacturing capabilities must be conducted "before starting processing production" or "before performing export processing," leaving the specific targets of facility inspections somewhat ambiguous. This Circular clarifies the targets and types of inspections by categorizing them into: 1) Non-EPEs, 2) EPEs, and 3) General FDI enterprises converting to EPEs.

Additionally, the facility inspection process has been rationalized. For instance, if a manufacturing enterprise performs processing activities for a foreign trader and the contract includes clauses for the lease of machinery and equipment, but the enterprise does not yet possess said machinery at the time of inspection, it may first obtain approval by declaring the facility without that specific information. Once the machinery is imported, the enterprise can provide the additional information within 30 days of the import date. Detailed implementation procedures have also been established.

5. Refinement and Reflection of Detailed Customs Procedures for Amended On-the-spot Import-Export

In alignment with the Law (Law No. 90/2025/QH15) and Decree (Decree No. 167/2025/ND-CP) regarding On-the-spot Import-Export amended in 2025, the detailed customs procedures have been revised and reflected in this Circular.

Key highlights include the requirement that for on-the-spot imports, customs procedures must be completed within 15 days from the date of customs clearance or release of the exported goods. Regarding the delivery of goods, it is explicitly stated that, in principle, the importer must register the import declaration in the respective region before the goods are delivered. Furthermore, the grounds for canceling import/export declarations now clearly include cases where the corresponding export or import declaration for an on-the-spot transaction is not completed within the designated timeframe.

6. Other Amendments and Additions

In an effort to expand digital customs administration, it is now the principle to submit customs-related documents—such as customs declarations, commercial invoices, transport documents, permits, and certificates of origin—electronically as "files." Original documents are required only in exceptional cases, such as physical inspections. Additionally, procedures have been streamlined and rationalized by simplifying documents for supplemental declarations and deleting certain documents related to the entry of goods into storage locations.

As examined above, we have reviewed the major points of the new amendment to the Circular on customs procedures scheduled to take effect this February. While some parts have been simplified or rationalized, the overall direction of the amendment involves clearly defining procedures that were previously vague and operated loosely, thereby increasing the number of management and compliance requirements.
In particular, the customs clearance for transactions between EPEs and the strengthened requirements for EPE external warehouses necessitate immediate verification and preparation for change. Furthermore, regarding the preparation of the Settlement Report, it is necessary to consider whether items that require new or separate entry compared to the past exist within your company and how to reflect and manage them.
If you have any questions regarding the newly amended Circular or other Vietnamese customs and import-export matters, or if you require professional assistance, please feel free to contact us at Shinhan Customs Service Vietnam.

FTA and import/export practical business guide

Practical Matters Regarding the Removal Period for Imported Cargo

Once an import declaration is accepted, the Customs Act requires that the cargo be removed from the bonded area within 15 days after the declaration is cleared. However, in practice, there are cases where removal within this period is difficult due to various circumstances. In such cases, an extension of the removal period is required.

1. Principle of the Removal Deadline: Article 157-2 of the Customs Act

Goods stored in bonded areas (such as bonded warehouses, CY, etc.) must be removed within 15 days from the date the import declaration is cleared. The purpose of this provision is to prevent cargo congestion in bonded areas and to ensure smooth logistics flow.

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2. Practical Handling of Removal Period Extensions

-If there are legitimate reasons that make removal within 15 days difficult, approval for an extension must be obtained from the customs office.

Reasons requiring an extension include:

① Delays in vehicle allocation or logistics strikes

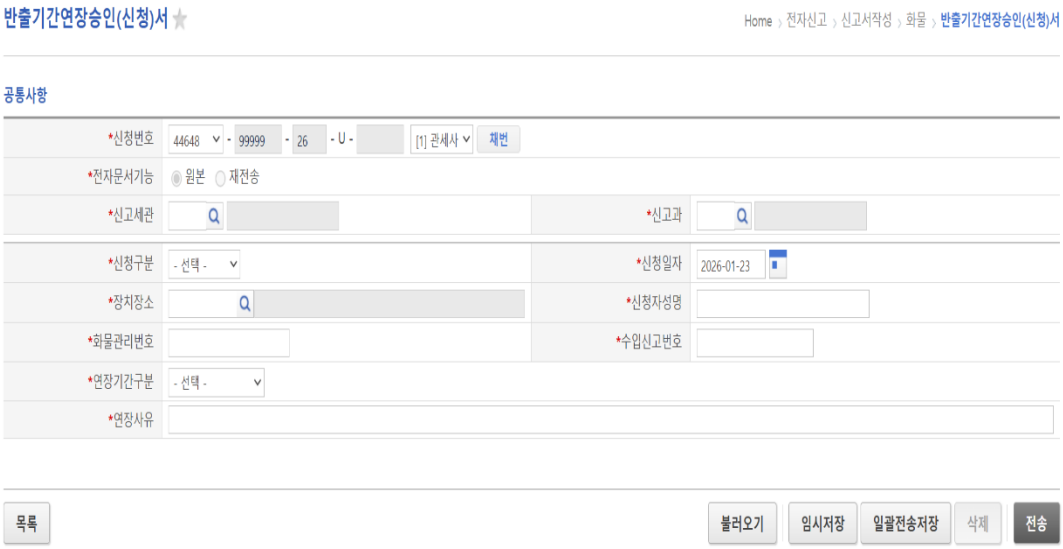
② Need for inspection and segregation of imported goods

③ Insufficient storage capacity at the consignee's warehouse (statement of reasons required)

④ Force majeure events such as natural disasters

-Applications for extension must be submitted through the electronic customs clearance system (UNI-PASS) using the "Application for Extension of Removal Period."

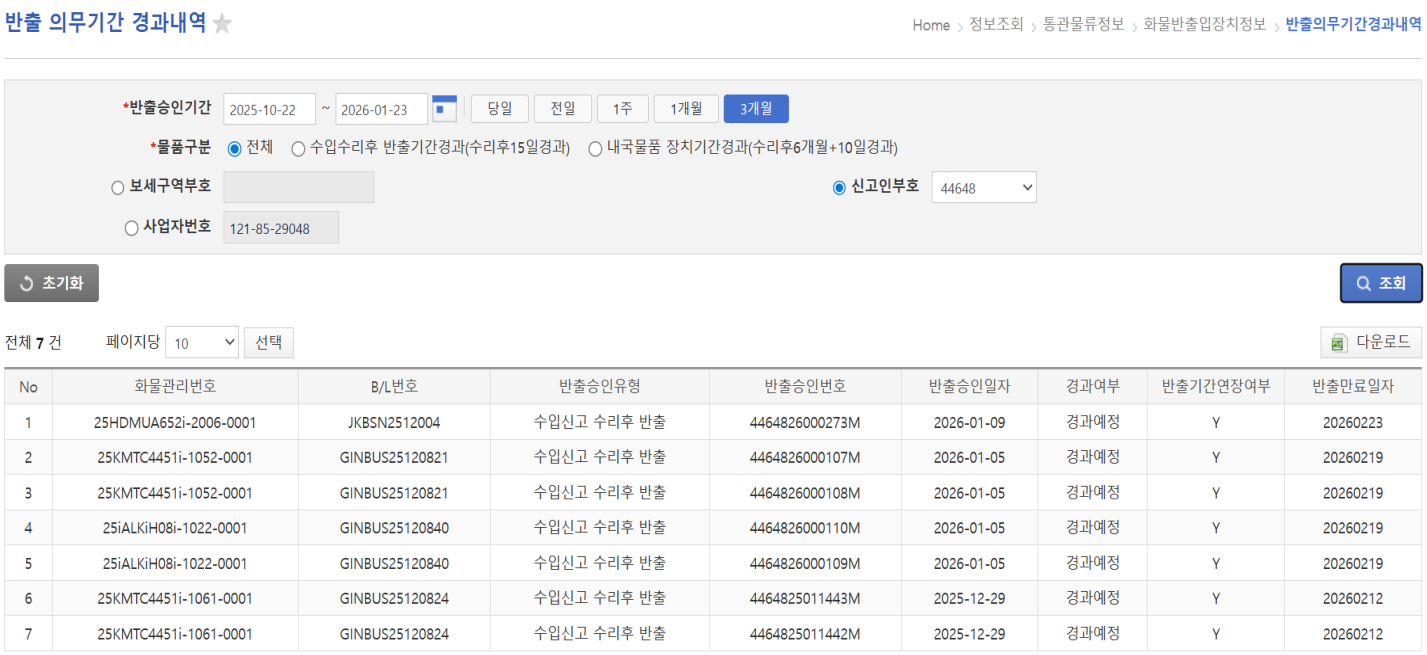
(Extensions are possible for up to 60 days, but the scope may vary depending on the customs office and the reason)



3. Management of the Extended Removal Period

From the importer's perspective, even if the extension of the removal period has been approved, exceeding the extended deadline constitutes a violation of the removal obligation and will result in a fine. Therefore, both the importer and the customs broker must ensure that the deadline is not exceeded.

The electronic customs clearance system (UNI-PASS) provides a screen for managing removal deadlines, which can be shared for monitoring purposes.



No	화물관리번호	B/L번호	반출승인유형	반출승인번호	반출승인일자	경과여부	반출기간연장여부	반출만료일자
1	25HDMUA652i-2006-0001	JKBSN2512004	수입신고 수리후 반출	4464826000273M	2026-01-09	경과예정	Y	20260223
2	25KMTC4451i-1052-0001	GINBUS25120821	수입신고 수리후 반출	4464826000107M	2026-01-05	경과예정	Y	20260219
3	25KMTC4451i-1052-0001	GINBUS25120821	수입신고 수리후 반출	4464826000108M	2026-01-05	경과예정	Y	20260219
4	25iALKiH08i-1022-0001	GINBUS25120840	수입신고 수리후 반출	4464826000110M	2026-01-05	경과예정	Y	20260219
5	25iALKiH08i-1022-0001	GINBUS25120840	수입신고 수리후 반출	4464826000109M	2026-01-05	경과예정	Y	20260219
6	25KMTC4451i-1061-0001	GINBUS25120824	수입신고 수리후 반출	4464825011443M	2025-12-29	경과예정	Y	20260212
7	25KMTC4451i-1061-0001	GINBUS25120824	수입신고 수리후 반출	4464825011442M	2025-12-29	경과예정	Y	20260212

Final Note on Removal Period Procedures

For those handling removal period tasks for the first time, it is important to note that each customs office across the country may have different procedures. Therefore, when applying for an extension, you must carefully check for any possible errors. Additionally, be sure to review the removal period notifications provided by the electronic customs clearance system (UNI-PASS) so that the importer does not incur fines due to exceeding the deadline.

Contents and Opinion of Customs Trade Amendment

Amendment to the Customs Act

1. Overview

The key focus of the Korea Customs Service's recently announced 2026 policy plan lies in "innovation through AI" and "strict border control." By incorporating artificial intelligence technologies, the authorities aim to overcome the physical limitations of customs administration while safeguarding trade security, which is closely connected to the daily lives of the public.

In line with this policy direction, an e-commerce–dedicated customs clearance platform will be launched from 2026 to accommodate the widespread use of overseas direct purchases, and regulations concerning purchasing agents and express consignment carriers will be reorganized to better reflect current practices. In addition, efforts are being made to strengthen public safety by clarifying the legal grounds for personal searches of travelers, with the aim of preventing the inflow of harmful goods such as narcotics and firearms. Against this backdrop, the major points of the amended Customs Act, scheduled to take effect in 2026, are outlined below.

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- SHINHAN Customs
- Corporate Audit
- Foreign Exchange
- FTA Consulting

2. Key Amendments

(1) Strengthening the Requirements for joint and several liability to pay the customs duties of Purchasing Agents (Article 19(5))

- To prevent customs duty evasion, the requirements for imposing joint and several liability to pay the customs duties on purchasing agents have been strengthened.
- Under the previous provision, purchasing agents were jointly and severally liable with the consignor only when they provided false customs value information to the importer. Under the amended provision, joint and several liability applies regardless of whether false information on customs value was provided, as long as the purchasing agent has received an amount equivalent to the customs duties from the consignor.

(2) Expansion of Grounds for Reduction of Additional Taxes (Article 42-2)

- In order to enhance taxpayer rights, a new ground for reduction of additional taxes has been introduced where a taxpayer applies the results of an advance tariff classification ruling.
- Where a taxpayer who has applied for an advance tariff classification files and pays duties during the period from the application date to the day before the notification of the ruling, and subsequently submits an amended declaration applying the notified classification within two months from the date of notification, an amount equivalent to 10 percent of the underpaid tax shall be deducted from the additional tax.

(3) Rationalization of the Advance Notice Period for Customs Audits (Article 114(1))

- To enhance predictability for taxpayers, the advance notice period for customs audits has been rationalized, and provisions have been supplemented to require written notification even where advance notice is omitted or audit details are changed.
- Previously, customs officials were required to give advance notice 15 days before commencing an audit. Under the amendment, the notice period is

extended to 20 days, while a 7-day notice period applies in cases of re-audits conducted following administrative appeals or objections.

(4) Adjustment of the Timing for Applications for Raw Material Taxation (Article 189)

- For goods manufactured in bonded factories and subsequently imported, the timing for applying raw material taxation has been adjusted.
- Under the amended provision, the application must be submitted before filing the import declaration, rather than before the usage declaration, while duties continue to be assessed based on the nature and quantity of raw materials at the time of usage declaration.

(5) Establishment of Legal Grounds for Personal Searches in Cases of Suspected Concealment of Narcotics, etc. (Article 265)

- Measures to strengthen controls against the smuggling of narcotics and other harmful goods have been introduced.
- Customs officials may use inspection equipment designated by the Commissioner of the Korea Customs Service to search travelers' belongings and determine whether such belongings are being carried. Where there are reasonable grounds to suspect concealment of narcotics, firearms, or other harmful items, officials may require the items to be presented and, if the traveler refuses, may conduct a personal search.

3. Other Amendments

In addition to the above, the period for applying duty exemptions on aircraft parts has been extended by three years, and duties on critical minerals directly developed overseas by Korean companies have been exempted (effective April 1, 2026), in order to support supply chain stability amid a rapidly changing global trade environment.

Furthermore, regulations related to overseas direct purchases have been refined by simplifying trademark protection procedures for low-value express consignments and rationalizing the obligation of express carriers to submit actual delivery address information (effective April 1, 2026).

4. Commentary

As amendments to the Customs Act are announced annually, it is important to carefully review each change. Supportive provisions, such as the expanded duty exemptions for aircraft parts and critical minerals, should be actively utilized as opportunities for cost reduction. Conversely, provisions that impose heavier

responsibilities—such as the strengthened joint and several tax liability of purchasing agents—should be promptly reflected in practical workflows to minimize legal risk.

As changes to the legal framework directly affect corporate costs and responsibilities, companies are advised to clearly understand the amended provisions and respond accordingly. In addition, as follow-up legislation, including enforcement decrees, enforcement rules, and administrative notices, is expected, it is recommended to review in advance the detailed provisions that may apply to each business before implementation.

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